Overview

The foundation of robust business finance lies in understanding The 3 Pillars of Financial Management. This framework operates as a continuous cycle rather than a static process:

- **Scenario Model (Assumptions/Targets):** This acts as your "What-if" calculator, essential for both strategic and operational planning. It involves feasibility modeling to identify risks and opportunities, assigning a probability to these observations. Failing to "do the math" at this stage is often at the heart of business failure.
- **Financial Systems & Controls:** These are the foundational software platforms and administration protocols that support your financial operations. Quality systems are required to support quality reporting.
- **Reporting (Performance/Actual):** This is the information gained *after* business activities, serving as definitive proof of performance. Effective management reporting is designed to avoid confirmation bias—it helps you identify what you don't know just as much as it confirms what you do know.

Furthermore, the theory recognizes the psychological journey of the business owner, mapped out in the Client Progression. Clients often start "Stuck in the Mud" due to fatigue or lack of clarity, or suffer from a "Knowledge Gap" where they don't understand the true effects of time and discounting. The ultimate theoretical goal is to guide them toward a "Test & Learn" culture, where financial management is approached from a position of strength and continuous learning.

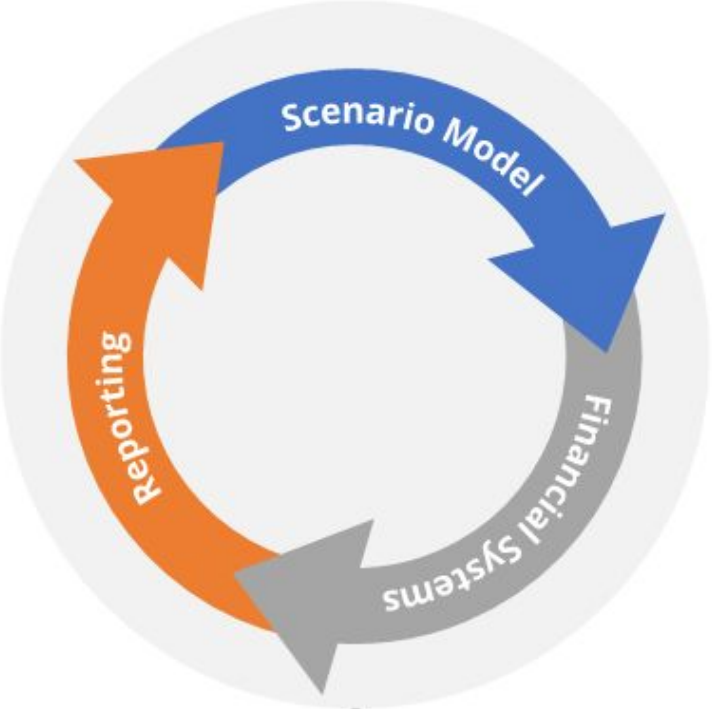
The 3 Pillars of Financial Management

Assumptions/ Targets

Most business owners fail to do the math. As simple as it sounds, it's often at the heart of business failure.

Scenario planning, and the feasibility modelling that supports it, allows you to identify risks and opportunities and then assign a PROBABILITY to those observations.

This is why financial modelling is utilised by successful business owners and consultants around the world.



Performance/ Actual

(Quality) management reporting is about avoiding confirmation bias.

It's about identifying what you don't know, as much as confirming what you do.

If you don't plan to make any changes or find a better way of doing things, you don't need management reporting. What you need, is a whole heap of luck.

Remember, quality reporting relies on quality systems and quality systems, rely on quality models.

Scenario Model

This is your 'What-if' calculator; essential for Strategic & Operational Planning.

Financial Systems & Controls

These are your software platforms & administration protocols.

Reporting

This is the information gained AFTER your business activities. This is proof!

The Client Progression To Financial Management Services

Theme	"Stuck in the Mud"	"The Knowledge Gap"	"The Wake Up Call"	"Eyes On The Prize"	"Looking Ahead"	"Cross the I's and Dot the T's"	"Test & Learn"
Problem Description	Clients are 'withdrawn' from business development due to fatigue, fear of loss or lack of clarity & belief.	Clients understand 'money in vs money out' in a linear fashion; they do not understand the true effects of time and discounting.	Clients accept 'ups & downs' but don't have any way of quantifying their range; leading to poor data conclusions.	Clients carry too many ideas in their 'neck-top computer; they need a place to 'unpack their thoughts' so future moves become clear.	If clients view a financial forecast as a 'static prediction' they fall victim to feelings of judgement & frustration. They miss the joy that comes from learning.	Most private business owners come from a 'technician' or 'artisan' background; they simply don't know what they don't know about financial systems.	Learning is a constant but it only comes from a position of strength (*even if that strength is simply determination*). Many business owners avoid financial management due to ignorance & fear.
Solution	Create self relevance by identifying with a persona; let them 'see themselves' within the Heald matrix & see that progress is easily within their reach.	Create the ah-ha moment; let clients see their business in cyclic terms. Client's will then piece together the role of forecasting & budgeting in their business.	Allow clients to see that a business is a system (collection of processes) & that a reduction in volatility can only come after refining the business procedures.	Encourage clients to see problems & opportunities as a series of 'what-if' events; logic supports ideas & quantifies what's needed to be successful.	A 3 way forecast combined with 'revenue model sensitivity' gives very strong clues as to what to expect going forward. Finally, the owner can feel in control	Starting the financial systems review with a range of 'heli-copter questions' allows your client to see that many of the system checks are simply 'common sense' in hindsight. From there you can dive deeper…	Building a visible learning culture can only occur top-down. Securing management reporting clients is a 'progressive engagement'. Dashboard Reports Ratio Analysis Benchmarking
Suggested Template/s	Heald Matrix	Working Capital Cycle	Volatility Model	Revenue Model	Forecast & Action Plan	Financial Systems Review	Financial Management

The Advisory Staircase

Step 1: Compilation & Verification.

Get the data in, get it clean and timely.

Step 2: Assimilation.

Render the data so it’s easy to view and comprehend.

Step 3: Interpretation.

Recognise correlation vs causation.

Step 4: Application

Determine the next ‘experiment’.

Step 5: Observation

Stay in the loop’.

The Advisory Staircase - Step by Step

Step 1: Compilation & Verification

- Objective: Get the data in, and ensure it is clean and timely.
- Action: If a client is withdrawn or "Stuck in the Mud," use a tool like the Heald matrix to create self-relevance. Let them identify with a persona so they can see that progress is easily within their reach before demanding heavy data compliance.

Step 2: Assimilation

- Objective: Render the data so it is easy to view and comprehend.
- Action: Address "The Knowledge Gap" by showing clients their business in cyclic terms. Utilize a Working Capital Cycle template to create an "ah-ha" moment, allowing them to piece together the role of budgeting and forecasting.

Step 3: Interpretation

- Objective: Recognize the difference between correlation and causation.
- Action: When clients experience a "Wake Up Call" regarding the ups and downs of their business, introduce a Volatility Model. Show them that a business is a system of processes, and volatility can only be reduced by refining procedures. Encourage them to unpack their ideas into a Revenue Model, treating problems and opportunities as quantifiable "what-if" events.

Step 4: Application

- Objective: Determine the next "experiment".
- Action: Move clients who are "Looking Ahead" away from viewing forecasts as frustrating "static predictions". Instead, implement a 3-way forecast combined with revenue model sensitivity to provide strong clues about future expectations, giving the owner a sense of control. Conduct a Financial Systems Review using "heli-copter questions" to show that system checks are simply common sense in hindsight.

Step 5: Observation

- Objective: Stay in the loop.
- Action: Solidify a "Test & Learn" environment. Because learning can only occur top-down, secure progressive engagement through management reporting. Implement Dashboard Reports, Ratio Analysis, and Benchmarking to maintain a visible learning culture

The Advisory Staircase

Q: Why do so many business owners fail at financial management?

A: Most business owners fail to "do the math," which is frequently at the core of business failure. Additionally, many avoid financial management entirely due to ignorance, fear, or because they come from a "technician" or "artisan" background and simply don't know what they don't know about financial systems.

Q: What is the main purpose of management reporting?

A: Quality management reporting is about avoiding confirmation bias. It helps identify what you don't know, confirms what you do know, and provides tangible proof of your business activities.

Q: How can I change my client's negative mindset toward financial forecasting?

A: Clients often feel judgment and frustration when they view a forecast as a "static prediction". To change this, combine a 3-way forecast with "revenue model sensitivity". This helps them see the forecast as a series of clues for what to expect, bringing joy from learning and helping the owner feel in control.

Q: Do I need a management reporting system if I don't plan on changing how my business operates?

A: If you do not plan to make any changes or find better ways of doing things, you do not actually need management reporting. However, operating this way requires "a whole heap of luck" to succeed.